Make-vs-Buy Decision Tree

When to fine-tune, when to call an API

PROFESSIONAL DEFINITION

The Make-vs-Buy Decision Tree guides whether to build, fine-tune or simply call an external model or component, by working through questions of differentiation, capability and cost.

WHO DEVELOPED IT

An adaptation of classic make-or-buy and transaction-cost reasoning to the AI model lifecycle.

WHY IT WAS DEVELOPED

It was developed to prevent undifferentiated in-house model effort and to reserve build capacity for genuine sources of advantage.

FIGURE 1 · MAKE-VS-BUY DECISION TREE

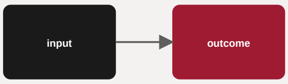

Figure 1. A schematic of the Make-vs-Buy Decision Tree as applied in BARBM312 (illustrative).

HOW IT IS USED

The tree asks whether the capability is strategic, whether data confers advantage, and whether an API suffices, terminating in build, fine-tune or buy.

WHEN IT IS USED

When deciding how to source AI capability for a specific use case.

BY WHOM IT IS USED

CTOs, ML leads and product owners.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It turns the abstract build-or-buy question into a structured, repeatable decision for AI components.

RELATED FRAMEWORKS IN THIS COURSE

- **Open vs. Proprietary LLM 2×2** · Slibrary 11
- **Talent Scarcity Heatmap** · Slibrary 11
- **Skill-Premium Curve** · Slibrary 11
- **MLOps Maturity Ladder** · Slibrary 11

SOURCES (HARVARD REFERENCING STYLE)

Williamson, O.E. (1985) The Economic Institutions of Capitalism. New York: Free Press.

Bommasani, R. et al. (2021) 'On the opportunities and risks of foundation models', arXiv:2108.07258.